

1.

In an economy, over the last decade, each of the top five decile groups has experienced a fall in their share of total income. In contrast, the bottom five decile groups have experienced a substantial increase in their share of total income.

It can be concluded that, over this period, the distribution of income is most likely to have become

A more equal.

☐

B more equal but less equitable.

☐

C more equitable.

☐

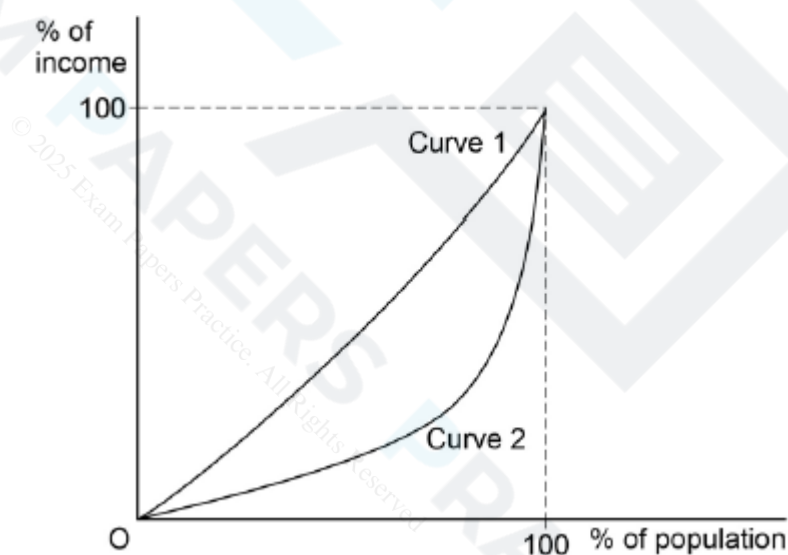
D more equitable but less equal.

☐

[1 mark]

2.

The two Lorenz curves below represent the distribution of disposable income for the same economy in two time periods.



Over time the shift from the Curve 1 to Curve 2 curve is most likely to have been caused by which one of the following?

- A Reduced welfare expenditure and reduced taxes on higher earners ☐
- B Increased welfare expenditure and increased taxes on higher earners ☐
- C Increased tax allowances for low earners and increased welfare expenditure ☐
- D Lower taxes on expenditure with reduced taxes on low earners ☐

[1 mark]

3.

Taking into account the news report, **Brazil: The Hot 'BRIC' Extract D** and the original evidence, do you recommend that the company should invest in Brazil? Justify your recommendation.

[25 marks]

4.

The table below shows the Gini coefficient of income for two countries.

Country	Gini coefficient
X	0.4
Y	0.6

From the table it can be inferred that

- A the distribution of income is more equal in country X. ☐
- B the distribution of wealth is more equal in country Y. ☐
- C 40% of the population in country X have more than the median income. ☐
- D 60% of the population in country Y have more than the mean income. ☐

[1 mark]

5.

Many people were surprised when UK unemployment fell during 2013. The government's policy of deficit reduction was expected to prevent significant falls in unemployment and some called for the government to reverse its policy of planned cuts in expenditure.

Explain why low unemployment is a key objective of economic policy for the UK and most other governments.

[15 marks]



6.

Over the past 35 years, successive governments have reduced taxes on income whilst increasing taxes on spending, such as excise duties and Value Added Tax (VAT).

Assess the economic costs **and** benefits of government action which results in greater inequality in the distribution of income and wealth in the UK.

[25 marks]

7.

Over the past 35 years, successive governments have reduced taxes on income whilst increasing taxes on spending, such as excise duties and Value Added Tax (VAT).

Distinguish between equity **and** equality and explain the effects of this government policy on the distribution of income.

[15 marks]

8.

It is generally accepted that we need to adopt new ways of charging for the use of our roads. This is partly because of worsening congestion, but is also due to the reduction in revenue generated from taxes on fuels as a result of more fuel-efficient vehicles.

Assess the view that a system of road-pricing is the best way to tackle the problem of worsening traffic congestion in the UK.

[25 marks]

9.

Which one of the following is used to measure inequality in the distribution of income?

A The size of the employed labour force.

☐

B The value of the Gini coefficient.

☐

C The size of the income multiplier.

☐

D The marginal rate of income tax.

☐

[1 mark]

10.

In recent years, growth rates in the UK have been low and unemployment has risen. For example, in 2012 output was still below its peak of 2008 and unemployment had risen from 6.4% from 7.8%.

Explain why economic growth is a key objective of UK Government economic policy.

[15 marks]

11.

The information below shows the changes in key economic indicators for a country over a period of one year.

Money GDP	Rate of inflation	Population increase	Gini coefficient
+6%	+4%	+1%	–8%

Which one of the following can be concluded from the data?

- A External costs generated from economic activity have reduced the quality of life
- B Real GDP per capita has fallen
- C The distribution of income has become more unequal
- D The standard of living of typical residents in the country has probably improved

☐
☐
☐
☐

[1 mark]

12.

Apple sells iPhones and iPads at considerably lower prices in the USA than in the UK market, but sources the products from the same factories in the Far East.

Discuss the view that price discrimination only benefits suppliers, such as Apple.

[25 marks]

13.

Inequality Extract E (lines 6–7) states that ‘growing inequality would create incentives, kick-start enterprise, boost growth and is good for us all’.

Using the data in the extracts and your economic knowledge, assess the view that inequality is ‘good for us all.’

[25 marks]

14.

Inequality Extract F (lines 9–10) states that ‘concentrating income in fewer and fewer hands eventually leads to bubble economies in which the prices of assets, such as houses and shares, rise continuously’.

With the help of a diagram, explain how growing inequality might lead to a persistent rise in the price of houses.

[9 marks]

15. Inequality

Extract F: Against inequality

The main outcome of the post-1980 experiment in neo-liberal (market) economics has been an economy that is much more divided and unhealthy, both of which are closely related. There are three powerful reasons why the global financial crisis of 2008 and 2009 had its roots in excessive concentrations of income and wealth. 1

First, above a certain limit of inequality, economies develop a natural tendency to deflation. In the UK and US, by cutting the purchasing power to buy the extra output being produced, the long wage squeeze has created consumer societies without enough consumers. The solution has been to allow an unsustainable increase in private debt to fill the gap. 5

Second, concentrating income in fewer and fewer hands eventually leads to bubble economies in which the prices of assets, such as houses and shares, rise continuously until the 'bubbles' eventually burst. From the early 1990s, the growing inequality created a global mix of increasing company profits, excessive bank lending and rapidly growing personal wealth, all of which contributed to the bubbles in property and share prices. This eventually brought the global economy to its knees. 10

Finally, excessive concentrations of wealth create dangerous concentrations of economic power. Corporate lobby groups, which promote the interests of the financial sector, are able to promote measures such as weak financial regulation by the state and lower taxes on the wealthy. 15

Source: Copyright Guardian News & Media Ltd 2011

16. Explain how the data in **Inequality Extract D** show that taxes and benefits have been successful in reducing inequalities in household income in the UK. [4 marks]

17. Inequality

Extract E: In favour of inequality

The way in which society's resources are distributed has long been of major concern to economists, directly affecting as it does the level of social welfare. Changes in the size and distribution of national output raise important questions of efficiency and also involve basic issues of equality. However, what is equitable is a matter of considerable debate amongst economists of different political persuasions. 1

It has been argued by the supporters of free-market capitalism that growing inequality would create incentives, kick-start enterprise, boost growth and is good for us all. Free market economists would argue that justice automatically arises from the interaction of demand and supply and the existence of competitive markets. In such a scenario, each factor receives what it is worth in terms of the value of its marginal revenue product. Disparities in income and wealth are justified by such factors as greater levels of innate or acquired skills which enable some factors to be more productive than others and earn a greater amount. Differences in the distribution of income and wealth are therefore viewed as inevitable and also desirable in that they provide the necessary incentives for individuals to study, train, supply their factor services and set up new businesses. These differences help the smooth operation of the price system and lead to an efficient resource allocation. 5

Moreover, an unequal distribution of income is seen as necessary to ensure economic efficiency and a faster growth rate – by making the rich richer, the size of the national cake, that is real GDP, will grow, and the benefits will trickle down to the less well off. 10

15

Source: News reports, November 2013

18.

Which one of the following values for the Gini coefficient shows the greatest inequality?

A -0.5

☐

B 0

☐

C 0.5

☐

D 1

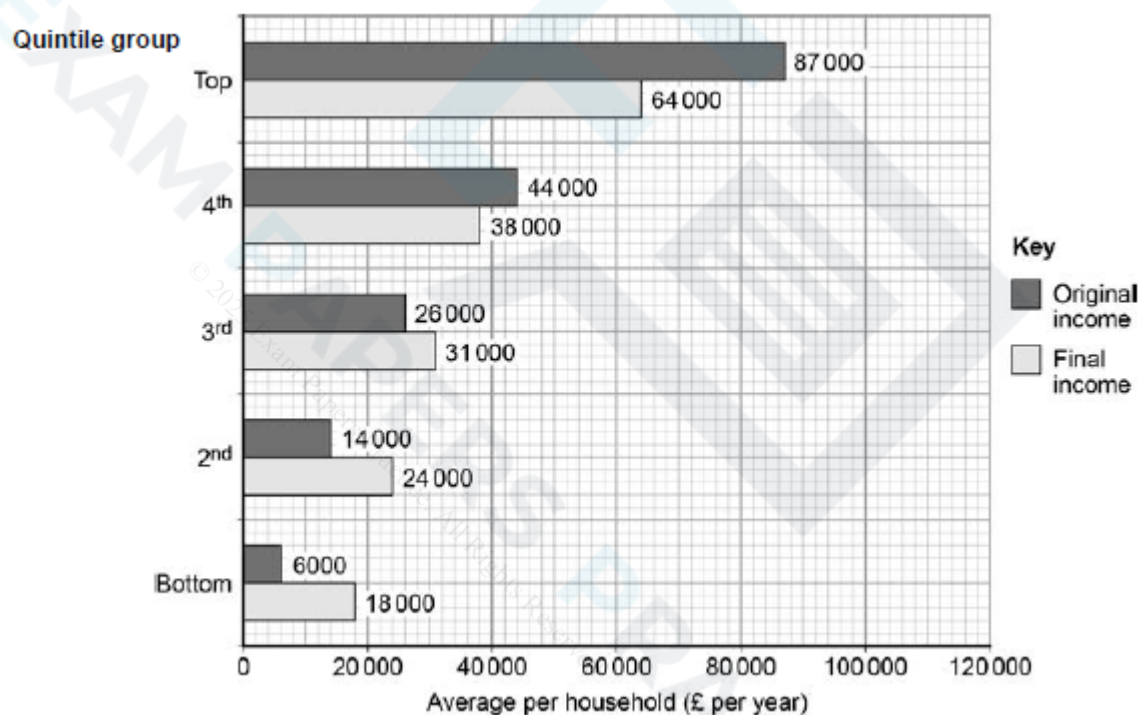
☐

[1 mark]

19.

Inequality

Extract D: The effects of taxes and benefits in the UK on household income by quintile groups, 2011–2012



Source: Office for National Statistics licensed under the Open Government Licence v. 1.0.

20.

Attempts by governments to equalise incomes are well-intentioned but counter-productive. They destroy incentives for people to lift themselves out of poverty.

To what extent can the problem of poverty in the UK be solved through the operation of market forces? Justify your answer.

[25 marks]

21.

The Resolution Foundation estimates that 1% of adults, about 488 000 people, own 14% of the UK's assets – worth about £11 trillion. At the other end of the scale, 15% of adults, about 7.3 million people, either own no assets at all, or are in debt. Meanwhile, income is also unequally distributed, but not to the same extent as wealth.

Explain how the Lorenz curve and Gini coefficient may be used to illustrate increasing income inequality in a country.

[15 marks]

22.

Attempts by governments to equalise incomes are well-intentioned but counter-productive. They destroy incentives for people to lift themselves out of poverty.

Explain the main causes of poverty in the UK.

[15 marks]

23.

The Resolution Foundation estimates that 1% of adults, about 488 000 people, own 14% of the UK's assets – worth about £11 trillion. At the other end of the scale, 15% of adults, about 7.3 million people, either own no assets at all, or are in debt. Meanwhile, income is also unequally distributed, but not to the same extent as wealth.

Assess the view that, in the UK, the consequences of wealth inequality are more damaging than the consequences of income inequality.

[25 marks]

24.

All other things being equal, which one of the following would be most likely to result in a reduction in inequality in the distribution of income in the UK? An increase in the

- A amount of government tax revenue.
- B average standard of living.
- C level of median income.
- D share of income of the lowest quintile.

☐☐☐☐

[1 mark]

25.

The table below shows the value of the Gini coefficient for a country between 2012 and 2016. Over the five-year period, the government has used progressive taxation to change the distribution of income.

Year	Gini coefficient
2012	0.60
2013	0.55
2014	0.50
2015	0.45
2016	0.40

Based on the above data, which one of the following is a positive statement?

- A** A progressive tax system is the fairest way of correcting income inequality. ☐
- B** Between 2012 and 2016 the distribution of income in the country became more equal. ☐
- C** The Gini coefficient is the best way of measuring changes in the distribution of income. ☐
- D** The government should continue to tax the rich to improve the distribution of income. ☐

[1 mark]